

Investor Ethnicity and Investor Relations Responsiveness: A Field Experiment

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ABSTRACT

Investor relations officers (IROs) are charged with the professional responsibility to provide investors with fair and equal access to corporate information. Yet, it is unclear whether they do so as their financial incentives favor prioritizing investors of strategic importance. We test whether IROs discriminate against ethnic minority investors in a natural field experiment, sending fictitious requests to IROs of Stoxx Europe 600 companies, varying only the investor's name. IROs respond more frequently to ethnic majority than minority names. An empathy-focused intervention designed to increase responsiveness to minority investors, sent prior to these investor requests, mitigates IRO favoritism, but unexpectedly only by decreasing IROs' responsiveness to majority investors. Thus, empathy-focused interventions can backfire in a way likely to decrease capital inflows to IROs' own firms and allow lower responsiveness to persist.

Keywords: investor relations officers, investor ethnicity, implicit discrimination, statistical discrimination, perspective taking, corporate communication.

1. Introduction

Investor relations officers (IROs) shape their companies' narratives with stakeholders such as the media, analysts, and institutional and retail investors (Solomon [2012], Brown et al. [2019]). They often prioritize investors with greater investing capacity and longer horizons, viewing them as strategically more important to the firm than others (Asay, Clor-Proell, and Durney [2024]). Because these investing traits and similar ones are difficult to observe, especially among retail investors, IROs may instead rely on observable proxies of strategic importance to prioritize engaging with individual investors (Brown et al. [2019]). We conduct a natural field experiment to examine whether IROs rely on investor ethnicity as a sorting characteristic that biases their responsiveness to individual investor requests, leading to differential treatment of ethnic minority investors. We also examine whether cues of investor wealth alter how IROs use ethnicity as a sorting mechanism and whether an empathy-focused intervention that prompts IROs to take investors' perspective can mitigate such discrimination.

Evidence of discrimination in IRO corporate communications would have significant implications for informational efficiency and fairness in capital markets. Although IROs are prohibited in part by Regulation Fair Disclosure (Reg FD) and under Regulation (EU) No 596/2014 (Market Abuse Regulation) from selectively disclosing private information to investors (Koch, Lefanowicz, and Robinson [2013]), studies highlight the gatekeeping role of IROs in communicating their firm's narrative and facilitating investors' processing of firm information (Brown et al. [2019], Chapman, Miller, and White [2019], Karolyi, Kim, and Liao [2020]). If IROs provide information differentially based on ethnicity, they would not only undermine regulatory principles of fair disclosure but also exacerbate the economic costs for ethnic minority investors to acquire and use information relevant to their investment decisions (Blankespoor, deHaan, and Marinovic [2020]). An unintended consequence could be that ethnic minority investors who face

discrimination will redirect their resources elsewhere, potentially opting for investments with worse risk-adjusted returns. Indeed, evidence suggests that discrimination in the investing and information-search process creates ethnic gaps in stock market participation, and leads investors from underrepresented and other marginalized groups to overinvest in risky or low-return securities (Elliott [2019]) or to be more susceptible to manipulative investment schemes (Leuz et al. [2023]).

Previous research has documented discrimination in related settings (Hardies, Lennox, and Li [2021], Krishnan, Singer, and Zhang [2023], Wang, Williamson, and Yang [2024]). For example, Flam et al. [2023] find that ethnic minority analysts participate in 12 to 43 fewer corporate conference calls over the course of their career. Also, minority money managers are evaluated more harshly and receive less attention from institutional investors (Lyons-Padilla et al. [2019]), while Hayes et al. [2025] find that racial minorities receive lower service quality from financial institutions. Similarly, Moss et al. [2025] find evidence of racial disparities in investor access to meetings with corporate insiders. We posit that minority retail investors who seek out corporate information will similarly experience discrimination but of a novel kind: limited access to or assimilation of corporate information.

Our research moves beyond the essential tasks of hypothesizing and testing for discrimination against ethnic minority investors' access to corporate information and examines an intervention designed to reduce this bias. Specifically, we examine whether a perspective taking intervention, a central aspect of many anti-discriminatory or inclusion corporate trainings (Bourke, Titus, and Espedido [2020], Amazon [2021], Dwyer [2021]), can reduce the extent to which IROs discriminate against ethnic minority investors. Our focus on a training tool allows us to provide tighter identification of the mitigating role of inclusion practices and extends prior work on

inclusive corporate cultures as a remedy for discrimination (Hayes et al. [2025]). There is, however, tension about the effectiveness of perspective taking intervention. While our natural field experimental methodology allows us to causally examine whether the intervention reduces bias as IROs engage investors in their natural work environments, it also challenges their professional standards that require IROs to be objective rather than empathic in their communications (e.g., National Investor Relations Institute (NIRI) [2022], Associazione Italiana IR [2025]).

IROs provide useful guidance to retail investors, which can aid their processing of firm disclosures (Chapman et al. [2019]). Well-documented studies suggest that decision-makers who often lack individuating information rely on group attributes as a signal of the unobservable characteristics (Phelps [1972], Arrow [1973], Hayes et al. [2025]). Given the many investor requests that IROs receive, they could rely on noisy proxies, such as ethnicity or country of origin, to infer the investing characteristics and strategic importance of individual investors. Since an investor's ethnicity or country of origin will be largely unobservable to IROs (especially for retail investors), investor names could be used as a proxy for ethnicity when assessing strategic importance. In the IRO context, discrimination against ethnic minorities may arise in two forms: statistical and implicit, with the distinction being whether the discrimination arises from the conscious use of group-based proxies or subconscious bias (Bertrand, Chugh, and Mullainathan [2005]). Thus, consistent with statistical or implicit discrimination, we hypothesize that IROs rely on perceived investor ethnicity as a signal of strategic importance, which systematically lowers their responsiveness to minority as compared to majority retail investors (H1).

Given the potentially significant costs to firms and society when IROs sort investors largely on the grounds of ethnicity, we also test a “de-biasing” intervention. As discrimination often arises from focusing on interpersonal differences (Bertrand and Mullainathan [2004], Pager,

Bonikowski, and Western [2009]), we test whether a prompt for IROs to consider the perspective of the investor and to focus on interpersonal commonalities reduces discrimination (Galinsky and Ku [2004], Galinsky, Wang, and Ku [2008]). Our basis for testing for this effect is consistent with social psychology studies showing that, at least in everyday settings, prompts to engage in empathic perspective taking can reduce decision makers' reliance on negative stereotypes (Todd et al. [2011], Weyant [2019]). Our second hypothesis predicts that prompting IROs to take the perspective of investors will reduce their discrimination (if found in H1) in part by reducing their higher responsiveness to ethnic majority retail investors over minority investors (H2a), and in part by increasing their responsiveness to minority investors (H2b).

We use a natural field experiment to test our two hypotheses on a sample of publicly listed European companies, deploying a 2×2 between-company design (investor ethnicity $\times$ perspective taking). To manipulate investor ethnicity, we send an email from a fictitious investor to companies of the Stoxx Europe 600 index, and we vary the name of the investor, matching either an English, Italian, African, or South Asian ethnicity.¹ Drawing from a large-scale study on name discrimination in Europe (Lancee [2021]), we employ the following first names, surnames, and countries of origin: James Robinson (United Kingdom), Francesco Marino (Italy), Habtamu Yerga (Ethiopia), and Tariq Anwar (Pakistan). We hold constant the investor's location as London, allowing us to classify them as ethnic majority (James) or minority investors (Francesco, Habtamu, and Tariq). The investor requests identical information about the company's sustainability strategy. Thirteen days before these investor requests, IROs get an invitation to participate in a

¹ Our use of fictitious investor names and emails is based on well-established deception paradigms used in peer-reviewed literature (see discussion in Pascual-Leone, Singh, and Scoboria [2010]). As noted in List [2024], the use of deception in natural field experiments is allowed if it imposes only minimal harm and results in the best possible research outcomes. Using List's [2024] rules of experimentation, participants in our study, at randomization, are not expected to be made worse off because of our experiment.

survey on corporate communication. This survey communication effects our perspective taking manipulation, stressing either objectively or empathically responding to investor requests. Our dependent variable is IROs' response rates to various types of investors' requests.

Our findings support H1 and H2a, but fail to support H2b. In line with H1, in the objective level of the perspective taking conditions, the IRO response rate to investor requests is highest for James and significantly lower for Francesco and Habtamu, consistent with ethnic discrimination. For Tariq, the South Asian name, we find only directionally lower response rates, compared to James. Thus, H1 obtains except for the inconclusive case of Tariq. In the empathic level of the perspective taking conditions, we observe reduced discrimination, in line with H2a. H2b fails to obtain, however, as the empathic perspective taking manipulation only decreases the IROs' higher response rates for James. That is, it *fails* to increase response rates for any of the three ethnic minority names. This is a pyrrhic victory in that while it closes the response rate discrimination gap, it does so in a manner likely to reduce investor inflows to the IROs' own firms.

To further probe the type of discrimination IROs exhibit, we include a +1 condition in our design. For emails with South Asian and African names only, we add a sentence in half of the emails claiming private wealth as a more direct cue of strategic investor importance. This wealth intervention does not affect IROs' response rates, suggesting that they simply observe the name and then decide whether or not to respond without properly processing the email's content. Among IROs who do respond, however, the wealth claim elicits longer email responses to Habtamu, while Tariq benefits less from it. This result suggests that positive stereotypes toward Tariq explain the higher responsiveness.

Our survey results further reveal that perspective taking elicits positive emotions toward investors, enabling treated IROs to become more aware of and attempt to self-correct their

favoritism bias towards James (Wegener and Petty [1997]). Despite evidence of a successful perspective taking manipulation, it failed to reduce IROs' bias against being responsive to ethnic minority investors. Finally, cross-sectional tests reveal still-higher levels of discrimination toward all three minority investors in countries with elevated recent immigration rates and for firms previously involved in race-related incidents. The evidence from these results suggests that implicit biases amplify IROs' lower responsiveness to ethnic minority investors.²

Our study makes two primary contributions to the literature. First, we show that ethnic discrimination in corporate investor relations exists and has real consequences, even when earlier reminders nudge the IROs to be objective. This finding builds on prior research documenting that investor and analyst perceptions of managers vary based on observable characteristics, such as gender (Ewens and Townsend [2020], Jackson, Rennekamp, and Steenhoven [2021]) or race (Kumar, Niessen-Ruenzi, and Spalt [2015], Rupar, Wang, and Yoon [2025]). Yet, to the best of our knowledge, our study is among the first to provide causal evidence that IROs discriminate among investors based on their ethnicity. Documenting such a bias is important in light of evidence that higher disclosure processing costs impair investor judgments and influence financial market dynamics (Blankespoor, deHaan, and Marinovic [2020]), amplifying market inefficiencies (Bloomfield [2002], Bushee, Matsumoto, and Miller [2004]). Interactions with responsive IROs provide investors with a low-cost way to obtain valuable explanations and clarifications (Chapman et al. [2019]). Responsive communications with investors is one of the principle ways that IROs shape narratives about their companies and reduce investors' information processing costs

² Prior research distinguishes three types of discrimination. "Taste-based discrimination" involves using racism, sexism, or animus to favor some or to disfavor others (Guryan and Charles [2013]). Statistical discrimination would entail *consciously* using a given ethnic name to infer investors' strategic importance, while implicit discrimination would entail *subconsciously* doing so. We do not endeavor to tease apart statistical and implicit discrimination fully, but our supplemental tests show that at least a portion of the observed IRO discrimination is implicit.

(Bushee and Miller [2012], Brown et al. [2019]). Our findings show that ethnic minority investors benefit less than ethnic majority investors from the corporate communication role of IROs.³

Second, our findings present novel evidence that an empathy-focused perspective taking manipulation can be partially effective by reducing IRO response rates to majority investors, but also backfires as it does not increase response rates to ethnic minority investors. It is strikingly unlikely that this changed behavior will increase capital inflows to an IRO's company; indeed, we conjecture that expected higher capital inflows would have obtained had the IROs' response rates remained constant for ethnic majority investors while increasing for ethnic minority investors.

Numerous firms have embedded “perspective taking” trainings, believing that it helps to counteract implicit bias in their employees (Amazon [2021], Dwyer [2021]). Our study provides reasons to question the efficacy of these trainings as it fails to alleviate the main driver of ethnic discrimination in our study (cf., Dur, Gomez-Gonzalez, and Nessler [2023]). To the best of our knowledge, no research has tested the effectiveness of perspective taking in the incentive-rich context of financial markets. Our study thus presents novel evidence of this intervention with IROs—busy professionals who likely rely on noisy signals of investor importance to manage their work input because they lack time to respond personally to all investor requests (Godsell, Jung, and Mescall [2023]). Our findings suggest this IRO setting is conducive to both statistical and implicit discrimination and differs from psychology settings focused more on taste-based negative stereotypes and out-group biases (e.g., Galinsky and Moskowitz [2000]). A corollary opportunity exists for future research to identify an intervention that mitigates the stubborn bias that IROs have in our data against responding to queries from ethnic minority investors.

³ While IROs are prohibited from privately disclosing material information to investors, recent evidence suggests that selective disclosures do occur (Solomon and Soltes [2015], Asay et al. [2024]). Given our findings, we would expect ethnic minority investors to benefit less from legal or illegal forms of selective disclosures.

2. Theory and Hypothesis Development

2.1 INVESTOR RELATIONS OFFICERS AND RETAIL INVESTORS

IROs facilitate firm visibility through various means, such as preparing and marketing firm reports and disclosures, including earnings conference calls (Bushee and Miller [2012], Brown et al. [2019]). They also act as “gatekeepers,” managing access to both senior management and to key information about the firm. Related to these functions, research finds that companies with active IR departments exhibit higher analyst coverage (Karolyi and Liao [2017]), more accurate analyst forecasts (Chapman et al. [2017]), greater stock liquidity (Hong and Huang [2005]), and higher stock valuations (Karolyi, Kim, and Liao [2020]).

Not only do companies benefit from IR activities, but so does the investment community. Survey evidence emphasizes IROs’ role in shaping the firm narrative and preparing disclosures, and other recent work highlights that IROs are a crucial source of firm performance information (Solomon and Soltes [2015], Godsell et al. [2023]) and also of non-financial information such as workforce diversity data (Choi, McNichols, and Muhn [2024]). In a global survey, Karolyi et al. [2020] similarly find that IROs are essential information intermediaries for investors, especially about their firm’s social responsibility disclosures and performance—the disclosure area upon which we base our field experiment materials. However, IRO communication is not equal across investors. Specifically, Brown et al. [2019] report that IROs communicate selectively with investors based on factors such as the size of their investment stake in the firm, their investment style (short-horizon versus long-horizon), and investor wealth levels. Asay et al. [2024] find similar evidence of selective communications in an experimental setting. They find that IROs favor strategically important institutional investors in their private meetings, particularly when prompted to consider information materiality before the meeting. In sum, the literature highlights IROs’

important role in catering to strategically important investors. The evidence to date, however, focuses on interactions with institutional investors. We focus instead on retail investors.

Retail investors have gained increasing importance in financial markets (Elliott et al. [2007]), and IROs have begun to develop strategies to communicate more effectively with this investor group.⁴ Michels [2024] shows that retail investors' trading is attention-driven; even though they strongly react to earnings announcements, they largely trade on market returns following the announcements, consistent with a momentum approach. Focusing on trade-level data and buy-sell imbalances, other scholars further highlight that retail investor trading is underinformed (Friedman and Zeng [2024]).

In the context of ESG, there is evidence that retail investors do not sufficiently trade on ESG disclosures (Moss, Naughton, and Wang [2024]), even though these disclosures are decision-relevant to sophisticated institutional investors (Hartzmark and Sussman [2019], Bauer, Ruof, and Smeets [2021]) and despite evidence that retail investors exhibit preferences for ESG activities and may be willing to accept lower returns to satisfy these investment preferences (Christensen, Hail, and Leuz [2021]). One reason could be that ESG performance information is often textual, less covered by the business media, and cannot be aggregated by retail investors, thus leading to significant gaps in information processing costs (Leonelli et al. [2025], Wagenhofer [2024]). Consistent with the notion that IR activities shape communication norms and mitigate disclosure processing costs (Volant [2025], Chapman et al. [2019]), we reason that IROs could aid in reducing the costs investors bear in processing ESG performance information. To illustrate, recent surveys

⁴ The growing importance of retail investors is also discussed among IRO practitioners. For example, in a 2023 roundtable, the President of NIRI Los Angeles, Kim Esterkin [2023] noted that she “talked to two IROs who were in vastly different industries [...] but both of them felt and adamantly agreed you have to incorporate retail into your IR strategy.” Similarly, the managing partner of Asbury Investor Relations underscored the paradigm shift of surging retail investor participation in capital markets and advised IROs to develop more inclusive communication strategies that address the unique preferences of retail investors (Aldridge [2023]).

highlight that IROs contribute significantly to preparing ESG disclosures (NIRI [2023]) and that they view ESG disclosures as not only value-relevant to investors but also beneficial in building tighter investor relationships (IR Magazine [2019]). Overall, this evidence suggests that IRO responsiveness to retail investors around certain disclosures can be mutually beneficial in terms of reduced processing costs and more informed trading in the company's stock.

Our study highlights bias in IROs' dissemination of information to ethnic minority retail investors and investigates a potential remedy for this discrimination. While IROs may prefer to communicate with well-known institutional investors (Brown et al. [2019], Asay et al. [2024]), they likely find it more difficult to sort retail investors in terms of strategic importance. As IRO professionals are time and resource-constrained, they likely respond selectively to retail investors based on noisy signals of strategic importance such as rapidly formed judgments of wealth or investing capacity based on race or ethnicity. Frequent IRO reliance on noisy signals could disadvantage ethnic minority investors and foment unequal access to firm information.

2.2 ETHNIC MINORITY INVESTORS AND ACCESS TO STOCK INFORMATION

Although civil and labor laws prohibit discrimination based on race, color, religion, national origin, or sex (e.g., Civil Rights Act, Title VII; EU Charter of Fundamental Rights, Article 21), extensive evidence of discrimination exists in education (Milkman, Akinola, and Chugh [2012], Alesina et al. [2018], Boring and Philippe [2021]), judicial sentencing (Abrams, Bertrand, and Mullainathan [2012]), sports (Pope, Price, and Wolfers [2018], Dur et al. [2023]), the housing market (Hanson and Santos 2014; Sawert 2020), and the labor market (Bertrand and Duflo [2017], Lancee [2021]).⁵

There is also evidence of discrimination in financial markets toward marginalized groups and as a result, also a lack of trust in the services provided by financial institutions and investment

⁵ See also Pager and Sheperd [2008] for an extensive review of racial discrimination in four social domains: employment, housing, and the credit and consumer markets.

intermediaries (Lin et al. [2003], Hayes et al. [2025]). To illustrate, White households in the US participate in the stock market at a much higher rate (24%) than do Black households (approximately 8%, Bennett and Chien [2022]). While this disparity is partly attributed to wealth and risk-tolerance differences across White and Black households, evidence suggests that racial and ethnic biases inhibit minority participation in capital markets and their access to market-relevant information (Blau and Graham [1990], Coleman [2003]). Yet, causal evidence documenting this information cost mechanism is lacking so far.

At the institutional investor level, Lyons-Padilla et al. [2019] find evidence of racial bias in how asset allocators evaluate the competence of White versus Black-led teams of investment fund managers. Their study highlights a preference for White-led teams even when fund management credentials are equally strong. Consistent with stereotyping, they find that asset allocators are more likely to underestimate the competence of Black-led teams. Most relevant to our focus on information acquisition costs, Dougal et al. [2019] find that Historically Black Colleges and Universities (HBCUs) bear higher underwriting and information search costs to access municipal bond markets and that a viable explanation for this cost discrepancy is prejudice against minority-affiliated institutions. We advance this literature stream by providing causal evidence of discrimination in IROs' provision of firm information to ethnic minority investors.

Discrimination against racial and ethnic minorities is under-researched in the literature in regard to individual investors. In a related setting, Flam et al. [2023] find a substantial disparity in conference call participation rates between ethnic minority versus nonminority sell-side analysts during earnings conference calls. They find that lower conference call participation rates for ethnic minority analysts are not fully explained by analyst characteristics (e.g., experience, work environment, and stock rating favorability) or by firm and conference call fixed effects, thereby

suggesting the potential existence of systemic biases. Flam et al. [2023] further show that employment at a high-status brokerage house has little effect on the ordering of nonminority analysts on the conference call or the total time an analyst interacts with management on the call. They however find the opposite for ethnic minority analysts—brokerage house status mattered for the ordering and total interaction time for minority analysts. This evidence suggests that managers heuristically rely more on brokerage house reputation to sort the quality of ethnic minority analysts who get to participate in an earnings conference call.

While evidence of discrimination towards minority equity analysts could be extrapolated to sophisticated investors, there is little direct evidence to suggest that such biases exist on a systematic basis for individual investors, and in particular, retail investors. Further, it is unclear whether race or ethnicity impact how IROs, as key information intermediaries, respond to individual investors and their attempts to seek out information. The evidence in Flam et al. [2023] could provide some insights on the latter since IROs do play a role in the selection of analysts who participate on earnings conference calls. However, the insights are limited since survey evidence from Brown et al. [2019] indicate that prioritizing or selecting analyst participants on conference calls is an activity of lower importance for many IROs.

Our first hypothesis aims to establish whether IRO responsiveness to retail investors varies with ethnicity as a potential sorting signal of investor importance. Based on the aforementioned literature, we expect that statistical and implicit discrimination is likely to persist, similar to the evidence in the analyst literature, such that IROs are more likely to respond to requests from ethnic majority investors (e.g., James from London) than ethnic minority investors (e.g., Habtamu, Francesco, or Tariq from London). There is tension in this prediction. It is possible that IROs may respond equally to retail investors, regardless of ethnicity for the following reasons. First, IROs

self-select into a profession that charges them with the responsibility to maintain fair and equal access to a diverse set of investors according to professional codes of ethics (e.g., DVFA [2007], IR Society [2017], NIRI [2022]).⁶ Many IROs are members of IR associations, and rely on it for best practices in investor communications, ethical standards in disclosures, and trainings on emerging issues.⁷ Thus, if the average IRO abide by these guidelines, then we could find no disparity in IRO responsiveness to ethnic minority investors. Second, Karolyi et al. [2020] report that IROs are incentivized to and expend great effort to seek out and market the firm's stock to new investors with diverse investment styles. As such, IROs could be motivated to respond equally to retail investors and perhaps could be more responsive to ethnic minorities due to differences in their risk-tolerance and investment motivations. For example, survey evidence suggests that minority investors have a greater appetite for riskier stocks and are more motivated by not only short-run returns, but also socially responsible investments (Lin et al. [2003]). However, in line with the broader discrimination literature, we posit a directional hypothesis:

H1: IRO responsiveness varies as a function of investor ethnicity, such that IROs are more responsive to ethnic majority investors than to minority investors.

2.3 PERSPECTIVE TAKING

While research has documented the existence of ethnic discrimination (Scott et al. [2023], Fairlie, Robb, and Robinson [2022], Wheat, Chan, and Tremper [2024]), we go one step further than test for ethnic discrimination in a new, important context. In particular, we aim to investigate a specific approach of combatting such biases in capital markets—perspective taking. Perspective taking is defined as “a cognitive capacity to consider the world from other viewpoints” that “allows an

⁶ According to NIRI's Code of Ethics, under ethical principles 2 and 4, IROs must provide fair and equal access to publicly disclosed information to all constituents by providing equitable opportunities and valuing diversity with respect to race, color, and national origin, and not discriminate (NIRI [2022]). European counterparts use similar wording in their codes of conduct (e.g., Associazione Italiana IR [2025], DVFA [2007]).

⁷ Ninety-six percent of the companies in our sample operate in a country affiliated with an IR association.

individual to anticipate the behavior and reactions of others” (Davis [1983], p. 115). Research suggests that taking the perspective of outgroup members makes people aware of their bias (Epley et al. [2004]), reduces racial bias and negative stereotypes (Galinsky and Moskowitz [2000]), improves decision-making (Brown and Millar [2023]), and enhances positive evaluations of individuals from target groups (Shih et al. [2009]) and the target group itself (Dovidio et al. [2004], Galinsky and Ku [2004]). Of note, studies find that perspective taking reduces implicit bias toward Black and Hispanic people (Todd et al. [2011], Weyant [2019]).

We expect that perspective taking can be a useful intervention to mitigate IROs’ tendencies toward statistical or implicit discrimination. By considering the thoughts, feelings, and experiences of others, individuals can step outside of their biased frames of reference (Moore [2005]). This is particularly important in the context of IROs, who often have limited time and resources and thus likely rely on imperfect signals of investor importance. While statistical discrimination may seem rationally and economically motivated from the IRO’s perspective (Phelps [1972], Arrow [1973]) and while implicit discrimination can occur despite an IRO’s desire to be objective, a perspective taking prompt will enable recognizing the harms of their likely subconscious behaviors against ethnic minority investors.

We posit that, by encouraging IROs to take the perspective of all investors, they will realize the logical and moral fallacy of their discriminatory practices for *both* ethnic minority and majority investors. Consistent with research showing the efficacy of perspective taking in reducing racial bias, we anticipate that prompting IROs to consider investors’ perspective will mitigate any observed statistical or implicit discrimination toward investors with IROs realizing that ethnic minorities have long been subjected to subconscious and conscious forms of discrimination. As such, an empathic-focused perspective taking prompt will increase IRO responsiveness to ethnic

minority investors. We therefore posit the following:

H2a: Prompting IROs to take an empathic perspective of investors, as compared to prompting them to objectively respond to investors, will reduce their responsiveness gap arising from their relatively higher responsiveness to ethnic majority investors and their relatively lower responsiveness to minority investors.

H2b: Prompting IROs to take an empathic perspective of investors, as compared to prompting them to objectively respond to investors, will increase their responsiveness to ethnic minority investors.

While H2a indicates a difference-in-differences test, H2b predicts a simple effect of empathic perspective increasing IROs' responsiveness to ethnic minority investors.⁸ Both H2a and H2b feature some a priori tension. Perspective taking can have unintended directional effects (Skorinko and Sinclair [2013], Sassenrath, Hodges, and Pfattheicher [2016], Altiero, Kang, and Peecher [2022]), by, for example, accentuating differences rather than similarities (Hodges, Denning, and Lieber [2018]). Indeed, to the extent an IRO exhibits taste-based discrimination against investors of different ethnic identities, the empathic-focused perspective taking manipulation is unlikely to help and could even amplify bias by highlighting investors against whom they may harbor animus. Thus, our retail investor context in which IROs serve as "gatekeepers" is a rich setting for studying the efficacy as well as potential limitations of empathic perspective taking.

3. Methodology

We conduct a fully crossed 2×2 between-companies field experiment that manipulates investor ethnicity (majority or minority) and perspective taking (objective or empathic). Following prior correspondence studies on ethnic discrimination (Bertrand and Mullainathan [2004], Bertrand and Duflo [2017], Lancee [2021]), we send email requests to IROs using fictitious investor names that

⁸ We do not posit an H2c that is analogous to H2b by which IROs would *reduce* their responsiveness to ethnic majority investors as that would run counter to their financial incentives to create a positive narrative among potentially strategically important investors. In addition, the idea of IROs purposely becoming *less* responsive to ethnic majority investors implies a variant of reverse discrimination that would run directly counter to an institutional environment mandating IROs to serve the investment community in a fair, equal, and transparent manner (NIRI [2022]).

signal different ethnicities (James [majority], Francesco, Habtamu, or Tariq [minorities]). For our perspective taking manipulation, we send a survey to all IROs, randomly varying whether the survey highlights the importance of objectivity or empathy. While our survey's main purpose is to manipulate perspective taking, it also elicits manipulation checks, demographic information, and communication patterns in a hypothetical case scenario.

3.1 PARTICIPANTS AND COMPANIES

We test our predictions using a sample of Euro Stoxx 600 companies and their respective IROs. Our focus on European firms is motivated by our observation that large US companies do not regularly disclose personalized email addresses on their IR webpages, inhibiting the targeting of specific IROs with our two-step experimental design. Focusing on European companies further allows us to use names that have been used in a large-scale project on discrimination in the European labor market (Lancee [2021]). Table 1 shows the composition of our sample by company and country of the 575 companies' headquarters.⁹

While we do not have comprehensive data on individual IRO characteristics, our survey provides insights into the sample of participating IROs. Table 2 summarizes this data for the 44 IROs who completed the survey.¹⁰ On average, these IROs are 45.85 years old, and 76.84% of them have five or more years of work experience. They regularly communicate with the investment community, as evidenced by 41 of the 44 IROs (93.18%) receiving requests from analysts and institutional investors at least monthly. Retail investors have significant importance across this set of survey respondents, as 60.47% of IROs are regularly in contact with retail investors, with

⁹ Our sample is smaller than 600 for several reasons. Some companies appear twice in the index due to different classes of issued stock. For other companies, our emails were undeliverable, or we experienced form errors on the IR homepage.

¹⁰ While our survey provides insightful details, we acknowledge that the smaller sample size makes it hard to have powerful tests of the degree to which the survey responses matter for our main results. The survey completion rate does not differ between the two perspective-taking conditions ($p = 0.24$), suggesting that randomization was successful.

77.27% reporting that retail investors represent at least 5% of their company’s investor base, in line with the growing importance of retail investors in financial markets (Michels [2024]). Sixty-four percent of IROs report directly to either the CEO or CFO. This reporting structure is significant, because these executives often participate in Board of Directors meetings, thus reinforcing IROs’ fiduciary duties to shareholders (McNabb, Charan, and Carey [2021]).

3.2 DETAILED PROCEDURES

We hand-collect individual emails of IROs from the official webpages of European Stoxx 600 firms. In cases where companies have multiple IROs, we select only those responsible for equity investors and ignore others (e.g., those responsible for creditors). This approach mimics how retail investors typically seek and contact IROs, ensuring the authenticity of our experimental design. We use contact forms provided on firms’ IR webpages only when email addresses are unavailable.

We first distribute a survey to IROs, described as a brief questionnaire on “how firms communicate with capital market participants.” The survey’s design ensures participants are exposed to the perspective taking manipulation, as detailed below. The survey contains a short case scenario and collects demographic information and manipulation checks. One week later, we send a short reminder. The overall opening rate recorded by our email program is 29.72% or 260 emails, with similar rates across the objective and empathic conditions at 30.61% and 28.89%, respectively.¹¹ This evidence suggests that a significant portion of the surveyed IROs were exposed to our manipulation.

Thirteen days after survey distribution, we send the investor requests using the same communication channel as for our survey. This 13-day gap is consistent with prior correspondence studies (e.g., Dur et al. [2023]), and, more importantly, allows us to test for relatively persistent

¹¹ The email applications used by certain companies likely block read notification. So the open rates reported in our study are conservative compared to the actual open rates.

effects of perspective taking (i.e., as opposed to effects lasting only a day or a day later). The investor requests seek generic information regarding the company’s sustainability strategy. We opt for a request on sustainability as many companies routinely disclose this information in their annual report (Müller et al. [2024]), making it easy for all IROs to respond and point to official disclosures. The appendix provides the exact wording of the investor request.

As many prior economics studies using correspondence to examine discrimination in hiring and housing (Bertrand and Mullainathan [2004], Bertrand and Duflo [2017], Auspurg, Schneck, and Hinz [2019], Sawert [2020], Lancee [2021], we use deception to facilitate our study, sending fictitious investor requests to IROs. A key reason that deception is so common in natural field experiments is that they often are the only feasible method to obtain strong causal evidence of determinants of studied phenomena while participants naturally engage in their day to day tasks. Alternative methods, such as asking participants to assume that a hypothetical, ethnic minority investor is asking for information about their firm likely alter participants’ behaviors as they realize they are being “observed” by scientists. Hence, natural field experiments are ideal when researchers want to mitigate social desirability biases (Bertrand and Mullainathan [2004], List [2011], Bartos et al. [2016], Nunley et al. [2016], Weichselbaumer [2017]). Further, we chose to refrain from debriefing procedures to mitigate potential harm to participants, such as scrutiny from supervisors or negative emotions (Riach and Rich [2004], Lancee [2021], Dur et al. [2023]). We also decline any potential follow-up invitations to phone calls or meetings. Considering the societal relevance of ensuring a level playing field to capital market participants (Glennerster [2017], Asiedu et al. [2021]), we determined that the benefits of using deception outweigh any potential costs (Riach and Rich [2004], Pager [2007], Bloomfield, Nelson, and Soltes [2016]). The Institutional Review Board concurred and, accordingly, approved our experimental approach.

3.3 INDEPENDENT VARIABLES

Our first manipulated factor is the ethnicity of the retail investor. We are careful to select names that strongly indicate different ethnicities. To that end, we rely on a large-scale cross-national study on discrimination in the European labor market (Lancee [2021]). We select four pre-tested names representing four different countries of origin: James Robinson (United Kingdom), Francesco Marino (Italy), Habtamu Yerga (Ethiopia), and Tariq Anwar (Pakistan).¹² These names are among the most common first names and surnames in these countries, they are fairly easy to pronounce, and are not associated with public figures or particular religions.¹³

Since our sample consists of various European countries, all names could signal that the investor belongs to a minority group. To avoid ambiguity and establish a clear ethnic majority and minority, the investor request explicitly states that the investor resides in London, making the name James representative of the majority group. The other groups represent ethnic minorities. Our research design tests whether IROs discriminate statistically by using investor names to infer ethnicity and in turn, investor importance, and whether that inference determines their level of responsiveness. We create Gmail accounts for each of the four names, which also contain and reflect the investor's first name and surname.

Our second, perspective taking manipulation varies whether investors are nudged to be objective or empathic when responding to investor requests. Our manipulation closely follows prior perspective taking interventions in psychology research (Batson, Early, and Salvarani [1997],

¹² As in prior field experiments on discrimination (Bertrand and Duflo [2017], Auspurg, Schneck, and Hinz [2019], Sawert [2020]), we made a careful design choice not to directly manipulate ethnicity but rather to use names to signal ethnicity. Stating one's ethnicity in an email to IROs could be perceived as inappropriate, which could lead to IROs overcorrecting their biases or further amplifying negative stereotypes.

¹³ There are many underlying drivers (i.e., homophily, familiarity, popularity) that would be subsumed by our broader ethnicity construct, thereby making people more comfortable in responding to ethnic majority versus ethnic minority investors. We do not attempt to tease apart these varying drivers of ethnicity. Thus, all of the cues that make the name James Robinson signal the ethnic majority operate in our setting.

Todd et al. [2011]) and instructs participants to remain objective in the control condition (Klein and Hodges [2001], Goldstein, Vezich, and Shapiro [2014], Cooke et al. [2018]). In line with this research, the survey invitation includes the following paragraph in the objective condition:

Yet, when communicating with capital market participants, do you try to be as objective as possible? According to research, if you want to stay objective, you should not get yourself caught up in imagining what others think or feel, for instance when responding to investor requests.

In the condition where we highlight the importance of being empathic, we replace the objectivity paragraph with the following one:

Yet, when communicating with capital market participants, do you try to imagine how others feel? According to research, if you want to understand others' perspective, you should concentrate on trying to imagine what others think or feel, for instance when responding to investor requests.

Thus, our manipulation effectively varies the importance of thinking and feeling like investors. In the baseline condition, we highlight the importance of being objective (i.e., the status quo), similar to established IRO codes of ethics (e.g., NIRI [2022]). Our survey repeats the manipulation text, further ensuring that participants experienced our perspective taking manipulation.¹⁴

3.4 DEPENDENT VARIABLES AND PROCESS MEASURES

Our dependent variable is the response rate, measured at the IROs' company level. We code whether the investor receives a reply to their response. We disregard automatic responses (e.g., out-of-office, request forwarded to another contact). We also disregard a few instances of undeliverable emails, as each firm in our final sample has at least one functional email or form. The binary variable *response_yn* captures the response rate at the company level.

¹⁴ IROs who complete our survey see the manipulation twice, once in the email and once within the survey. We can rule out that this effect drives our results by dropping participants who filled out the survey from the main analysis. This sampling adjustment does not change our inferences, so we retain all participants in our empirical analyses.

While not our primary interest, the earlier survey with our perspective taking manipulation includes a short case where a novice investor requests publicly available information. This survey allows us to measure process variables related to the effect of perspective taking. Specifically, IROs indicate on 7-point Likert scales to what extent they would feel positive (and negative) emotions when responding to such an investor request. For positive emotions, IROs rate to what extent they would feel “sympathetic” and “compassionate” toward the investor. For negative emotions, they state whether they would feel somewhat “upset,” “perturbed,” and “disturbed.” We use simple averages to create the two measures for positive emotions (Cronbach alpha = 0.84) and negative emotions (Cronbach alpha = 0.83) and report on them in the additional analysis section.¹⁵

4. Results

4.1 ATTENTION CHECKS

We verify that participants are attentive to our manipulations with several checks. Anticipating a low survey response rate, we include the manipulation text directly in the body of the survey invitation and use the same emails and forms for the investor request. The overall response rate to the investor requests amounts to 43% (i.e., 245 out of 575 companies responded). Thus, we are confident that a significant portion of the IROs noticed and processed our manipulations (e.g., investor names), and our analyses do not suffer from an upper or lower floor bias.¹⁶

¹⁵ A factor analysis confirms that the five items measuring emotions relate to two distinct factors. In the principal component analysis, two factors with Eigenvalues greater than one emerge, with the first relating to positive emotion items (“sympathetic” and “compassionate”) and the second to negative emotion items (“upset,” “perturbed,” and “disturbed”). Thus, we administer two separate affect measures.

¹⁶ We do not know for sure whether specific participants have opened our earlier survey emails. However, we know that IROs who participated in our survey have opened our email and seen the manipulation. We obtain theory-consistent findings when examining our hypotheses within this subsample of survey responders ($n = 44$). While there are too few observations to estimate a full regression model, univariate tests indicate that IROs in the objective condition respond more to James than other names (all $p < 0.10$), and that these differences all disappear in the empathic condition (all $p > 0.10$) as the intervention reduces responsiveness to James ($p = 0.06$). These consistent findings highlight that our two-step design was successful, as participants in the main experiment processed our perspective taking manipulation like our survey participants did.

Regarding the perspective taking manipulation, our pre-task survey asks IROs to rate on seven-point Likert scales their agreement with the statement “*Before responding, I try to imagine how I would think and feel if I were in their place*” in response to the hypothetical investor request scenario. IROs in the empathic condition agree more strongly with this statement than those in the objective condition (means of 5.00 and 4.12, respectively), and the difference is significant ($t = 1.61, p = 0.05$, one-tailed). This result confirms that our manipulation worked as intended.¹⁷

4.2 RESPONSE RATES

4.2.1 Test of H1

To test our hypotheses, we first discuss the response rate to individual investor requests. Panel A Table 3 summarizes the response rate by investor name and perspective taking. Panel B presents the logistic regression used to test our hypotheses, and Panel C reports additional simple effects not captured in our regression. Figure 1 depicts our main findings.

Focusing on the objective or control condition first, we find that the response rate is highest for James (55.10%) and lower for Francesco (40.43%), Habtamu (32.65%), and Tariq (46.94%). As a preliminary test of H1, we first contrast the responsiveness to James with the lower responsiveness to the three minority investors (40.00%). In line with expectations, we find that the difference is significant (*Fisher’s exact one-sided* $p = 0.047$). For more robust inferences, we estimate a logistic regression with clustered standard errors by country location of the company’s headquarters, using the response rate as the dependent variable and our manipulations and their interactions as independent variables. Our regression captures the responsiveness to James in the intercept. The significantly negative coefficients for Francesco ($\beta = -0.59, p = 0.05$) and Habtamu

¹⁷ One potential concern of our research design is that IROs may recognize the survey’s purpose and respond to investor requests in a socially desirable manner. We mitigate this concern by 1) prompting all participants to be objective or empathic (holding the contact points constant across conditions), 2) using only publicly available emails and forms commonly used by retail investors, and 3) noting that socially desirable responses would run directly opposite to our directional H1 hypothesis of ethnicity-based discrimination.

($\beta = -0.93, p < 0.01$) show that, consistent with theory, in the objective condition, IROs respond significantly less to minority investors than to James. For Tariq, the coefficient is also negative ($\beta = -0.33, p = 0.22$), suggesting a similar trend, but the coefficient is not statistically significant and therefore inconclusive.¹⁸ Thus, consistent with H1, we find, both on average and for two out of three names, that IROs are more responsive to ethnic majority than minority investors.

4.2.2 Test of H2

For our second hypothesis (H2), we first test whether perspective taking reduces the differential treatment of ethnic majority investors (H2a) and whether it enhances IRO responsiveness to ethnic minority investors (H2b). We first find that the response rate to ethnic minority investors (44.44%) is now marginally higher than the response rate to James (29.79 %, *Fisher's exact* $p = 0.09$), which aligns with H2a. Specifically, all interaction terms are statistically significant (with $p < 0.01$ for Francesco, $p = 0.04$ for Habtamu, and $p = 0.06$ for Tariq), indicating that the perspective taking intervention's effect differs for ethnic majority and minority investors.

However, H2b fails to attain. Simple effects of the empathic vs objective levels of *perspective taking* in Panel C indicate that perspective taking fails to increase IRO responsiveness to ethnic minority investors. The response rates descriptively run the wrong direction for H2b for Habtamu (32.65% drops to 31.91%, $p = 0.93$), are identical for Tariq (46.94% $p = 1.00$), and run the right direction but are statistically insignificant for Francesco (40.43% to 54.17%, $p = 0.23$). Further, contrary to expectations, we find a negative and statistically significant coefficient on *Persp_T* ($\beta = -1.06, p < 0.01$), as our intervention reduces responsiveness to James (drops from

¹⁸ A potential explanation is that IROs do not associate South Asian names with lower strategic importance. To elaborate, financial markets in South Asia have developed tremendously over the past decades (Lennox and Wu [2022]). Note too that our study differs from prior correspondence studies in the labor market where taste-based discrimination likely plays a more prominent role (e.g., employers decide on a candidate joining their team; Lancee [2021]). A smaller effect size also could explain why we find no reliable evidence of statistical or implicit discrimination against Tariq. We explore potentially taste-based discrimination towards Tariq in a later section.

55.10% to 29.79%). Overall, our findings align with H2a, showing that prompting IROs to adopt investors' perspective reduces implicit or statistical discrimination in corporate communication. However, the effects mainly result from IROs reducing their responsiveness to the ethnic majority investor, rather than enhancing their responsiveness to ethnic minorities, as predicted in H2b.¹⁹

Our H2 finding that perspective taking narrows the discrimination gap in a way that is suboptimal for attracting greater capital inflows offers a key insight into the complex nature and persistence of the bias. IROs reduce their responsiveness to the majority group without increasing it for minorities. This directly challenges the alternative explanation that the bias documented via H1 is a purely rational attempt to maximize capital inflows. Instead, treated IROs actively correct their pro-majority bias, even if it means reducing overall engagement. A practical explanation for this specific method of correction may be that IROs often work with time constraints (Godsell et al. [2023]). Reducing their engagement with one group is easier than increasing it for others.²⁰

4.3 ADDITIONAL TESTS

4.3.1 *Wealth Claim Effects*

To better characterize the type of discrimination we observe, our design includes an additional condition, where we vary whether minority investors claim to be wealthy. That is, half of the emails from Tariq and Habtamu include the additional sentence “*I’m involved in managing my*

¹⁹ While unexpected and surprising in the IRO setting, the negative effect of perspective taking we observe in our natural field experiment is consistent with some prior socio-cognitive interventions aimed at reducing implicit bias. For example, Hoorens, Dekkers, and Deschrijver [2021] investigate whether self-affirmation reduces gender bias in student evaluations when students receive bad grades. They find that treated students reduce their bias against female professors by lowering their evaluations of male professors. Our nuanced result is also consistent with prior studies (e.g., Wang et al. [2014]) where perspective taking attenuated the attribution of stereotypically positive traits for positive targets (i.e., doctors) relative to negative targets (i.e., construction workers).

²⁰ Another important consideration in financial markets is the speed at which investors receive information and use it in their trades. We therefore calculate the time lag between the investor requests and IRO responses and find no significant difference across conditions (all $p > 0.10$). This suggests that the lower responsiveness to minority investors is not compensated by faster replies. We also conduct sentiment analyses using the text of the email responses (Hutto and Gilbert [2014]). We again find no significant difference, indicating similar tone of the responses across conditions.

family's private wealth.”²¹ By analyzing the effect of this sentence separately, we can test whether the IROs in our sample indeed use signs of wealth status to prioritize investors.

We first replicate the logistic regression on response rates, for Habtamu and Tariq separately, and we find no effect of the wealth claim (smallest $p = 0.71$, not tabulated). The lack of results is inconclusive, as it could indicate taste-based discrimination, statistical discrimination, or implicit discrimination on some other criteria. Furthermore, IROs may only see the minority investor's name and ignore the content of the email. In the next section, we provide a battery of tests that further explore the underlying causes of our findings.

Specifically, we use our +1 condition to explore the previously reported unexpected finding that Tariq did not receive significantly fewer responses than James. One potential explanation is IROs perceive South Asians as similarly competent, assertive, and ambitious to White individuals (Ghavami and Peplau [2013]). This would align with recent research suggesting that South Asians are treated similarly to White employees, and in some instances even more favorably in leadership positions (Lu, Nisbett, and Morris [2020]). Another potential explanation is that the name Tariq is associated with high wealth, as it is a name also common in Arabic countries (Oxford University Press [2019], BabyNames.com [2025]) that have a more developed global trade and investment structure (Cleary [2025], Tabor [2025]). Both explanations would entail that Tariq benefits to a lesser extent from the wealth claim than other minorities, such as Habtamu. We therefore regress our manipulations on the response length (i.e., number of words), using only the subsample of Tariq and Habtamu, as shown in Table 4, Panels A and B. Since our explanation implies an ordinal interaction, we specify, in Panel C of Table 4, a custom contrast to test whether the wealth claim levels the playing field across the two ethnic minority investors. Specifically, we assign weights

²¹ We chose the names Tariq and Habtamu for this additional condition since their names are associated with less wealthy countries of origin. This allows us to test whether IROs use their names to infer ethnicity and wealth.

of -3 for the Habtamu/wealth claim absent condition, and $+1$ in all other conditions. The contrast is significant ($t = 5.13, p < 0.01$), and Figure 2 depicts the results, which largely align with our specified weights.²² Associated simple effects in Panel D further confirm our prior finding that IROs favor Tariq over Habtamu in the absence of wealth claims ($t = 3.28, p < 0.01$), but the discrimination disappears entirely when the investors claim wealth ($t = 0.50, p = 0.62$). This finding suggests that positive stereotypes toward Tariq likely explain the higher responsiveness, whereas Habtamu needs to explicitly claim wealth to reach a similar level.²³

4.3.2 *Implicit versus Statistical Discrimination*

Our findings reveal that IROs respond more to ethnic majority investors unless prompted to adopt investors' perspective. While we cannot fully rule out a purely taste-based form of discrimination, our finding that perspective taking reduces favoritism more easily reconciles with implicit and statistical forms of discrimination. In this section, we attempt to disentangle whether IROs consciously or subconsciously respond differently to majority versus minority investors.

Bertrand et al. [2005] refer to implicit discrimination as an unintentional process that is outside of the discriminator's awareness. Building on their suggestion that (in)attention to cues of ethnicity is central to (implicit) statistical discrimination, we re-run our main analysis focusing on the subsample of firms that were previously involved in publicly revealed incidents related to racial bias. This approach helps us isolate firms that likely face higher reputational risk related to race and ethnicity. These high reputation risk firms are generally less likely to discriminate, as they are

²² We acknowledge that the visual inspection of the contrast suggests an ordinal pattern with a main effect of the wealth intervention (e.g., $-3, -1, +2, +2$). Such a contrast also reaches significance ($t = 4.00, p < 0.01$), and we encourage future research to theorize whether the pattern we obtain would replicate.

²³ To stay consistent with the method of Guggenmos, Piercey, and Agoglia [2018], we also evaluate the residual contrast variance. Specifically, we compare a full model with indicator variables for each experimental condition to a reduced-form model that contrasts the Habtamu/No Wealth condition against all other conditions combined. A log-likelihood test shows that the reduced-form model does not significantly lose power compared to the full model ($p = 0.19$), confirming our model specification (see Douthitt et al. [2024], footnote 14).

highly motivated to avoid practices that could harm their public image. Yet, if they do discriminate, that discrimination is more likely implicit because they would want to focus primarily on avoiding overt, visible forms of bias that could attract negative attention. That is, even as these firms avoid explicit bias, they may still struggle with implicit discrimination. We rely on the RepRisk news database and re-run our main analysis from Table 3 for the subsample of firms that had at least one incident related to race and racial inequality in the past. Available data goes back to 2007, and we identify 108 such firms. Table 5 summarizes the results of this subsample analysis.

The results in Panel A of Table 5 are almost identical to our main analyses: James receives the highest response rate in the objective condition with 83.33%, and the perspective taking intervention significantly reduces this figure to 37.50% ($\beta = -2.12$, $p < 0.01$, see Panel B). Responses to Francesco and Habtamu are again unaffected by the intervention (both $p < 0.10$, see Panel C). The only difference to our prior analysis is that Tariq now also receives significantly fewer responses than James in the objective condition (56.25%, $p = 0.01$), and the difference vanishes in the empathic condition ($p = 0.45$). This comparable pattern of results suggests that unconscious implicit discrimination explains our findings, not conscious statistical discrimination.

4.3.3 Taste-Based Discrimination

To increase the confidence in our findings and interpretations, we further explore the potential for taste-based discrimination. To that end, we reduce our sample to the 10 countries with the highest immigration rates per capita in 2022 (Eurostat [2024]) and test whether discrimination would be higher in such countries.²⁴ Assuming that higher immigration per capita translates into greater animus (Igarashi and Laurence [2021]), we repeat the analysis on response rates from Table 3 for this subsample and display the results in Table 6. Panel A of Table 6 shows, in the objective

²⁴ The 10 countries are Malta, Luxembourg, Cyprus, Ireland, Spain, Germany, Denmark, Austria, the Netherlands, and Belgium.

condition, that the responsiveness to James (66.67%) no longer differs from Francesco (53.33%, $p = 0.37$) but is still higher than Habtamu (44.44%, $p = 0.06$) and now also significantly higher than Tariq (42.11%, $p = 0.03$). This pattern is consistent with taste-based discrimination, where European IROs consciously favor European investors. Most importantly, consistent with theory, the effect of perspective taking no longer differs significantly across investors, as captured by the insignificant interaction coefficients (all $p > 0.10$). Thus, it seems that, in countries where the challenges of immigration are more salient, the type of discrimination differs. While our main results are consistent with both statistical and implicit discrimination, these findings cannot allow us to rule out taste-based discrimination playing a nonzero role in specific parts of our sample.

4.3.4 Survey Findings

We use our survey to gain insights into participants' judgments and explore the dynamics underlying our results. The survey presents a short hypothetical case where a novice investor, whose name or ethnicity is not further specified, requests publicly available information. After administering our perspective taking manipulation, IROs indicate how they would react and feel.

Most importantly, our measures of positive and negative affect help us explore some of the more surprising findings from Table 3. Recall that the perspective taking intervention significantly reduces the higher responsiveness to the ethnic majority investor (James), as opposed to increasing the responsiveness to ethnic minorities. One possible explanation is that IROs in the empathic condition have realized their own bias and tried to self-correct it. Since self-correction of biases is typically driven by values such as fairness and moral responsibility, this process is likely associated with positive emotions toward minority investors (Wegener and Petty [1997]).

Using our measure for positive emotions first, we find that survey participants in the empathic condition experience more positive emotions than participants in the objective condition

(means of 4.69 and 3.69, $p = 0.04$). In contrast, the negative emotions measure is unaffected within our survey (means of 2.40 and 2.28, $p = 0.74$).²⁵ Thus, the evidence is consistent with IROs trying to self-correct their bias toward James when they internalize the investor's perspective. The results are consistent with the literature on bias in self-correction (see Wegener and Petty [1997]).

4.3.5 Alternative Explanations

We conduct additional tests to explore the robustness of our findings and rule out alternative explanations. Our theory suggests that the names we administer in our study signal different ethnicities, which IROs use to assess the investor's importance. Alternatively, IROs may use names to infer other characteristics, such as an investor's immigration status, and discriminate based on that. We mitigate this by choosing names most common among native-born citizens and second or third-generation individuals to reduce association with recent immigration (Lancee [2021]). Note also that all investors signal their location as London but that the response rates to minority investors differ among each other, as shown in Panel A of Table 3 and Figure 2, which further helps rule out this alternative explanation.

Second, we add a country-level control for disclosure environment from La Porta et al. [2006] to the main regression in Table 3. This tests robustness, as prior research links IRO outreach to higher firm valuations in countries with weaker disclosure rules (Karolyi et al. [2020]). The control is not significant ($z = 0.16$, $p = 0.88$) and does not change our main results. Third, it is likely that IROs are less responsive when they are busy with earnings release events such as conference calls. We therefore hand-collect the earnings release dates surrounding the day that we sent out the investor requests. Using the number of days to the next earnings release date as control

²⁵ The survey findings reveal that perspective taking affects none of the four measures related to behavioral intentions (i.e., providing detailed answers, keeping responses short, refraining from responding, and avoiding back-and-forth discussions). This is consistent with our main findings showing no main effect of perspective taking but instead different effects for ethnic majority and minority investors (see Table 3).

variables, we find that none of our inferences changes qualitatively. This shows that our results are not an artifact of IRO busyness but instead suggest a deep-rooted issue of note.

5. Conclusion

Our study investigates the potential for discrimination in IROs' interactions with retail investors, focusing on whether they use ethnicity as a sorting characteristic that determines their responsiveness. We also explore whether a perspective taking intervention can mitigate their bias. The findings from our natural field experiment reveal that IROs do exhibit ethnic discrimination when responding to investor requests. Specifically, response rates are highest for requests originating from a name indicating an ethnic majority (James) and significantly lower for two out of three names indicating an ethnic minority (Francesco and Habtamu). The perspective taking intervention reduces the preferential treatment toward James, thus mitigating ethnic discrimination, but it fails to increase the responsiveness to minority investors, which, considering a firm's interest in attracting capital, is suboptimal. An additional wealth claim significantly increases the response length to Habtamu, indicating statistical or implicit discrimination.

Our research contributes to the literature by providing empirical evidence of ethnic discrimination among IROs and documenting real world consequences. This finding is crucial, given the role of IROs in facilitating investors' understanding of firm information (Chapman et al. [2019], Godsell et al. [2023]). Moreover, our study is among the first to empirically test the effectiveness of a perspective taking intervention in reducing ethnic discrimination in a financial market context. Our findings suggest that emphasizing commonalities through perspective taking can foster empathy but only partially reduces biases, highlighting the persistence of bias against ethnic minority investors in the IRO context. We encourage future research to examine this persistent bias and other anti-discriminatory interventions.

Appendix A

Survey Invitation

Dear << IRO FirstName>> << IRO LastName>>,

My name is <RESEARCHER NAME>, and I am a Professor of Financial Accounting at the [*university name redacted*]. Together with my research team, we examine how firms communicate with capital market participants.

As the primary contact for IR-related requests at <COMPANY NAME>, you routinely receive numerous requests from analysts, the media, and both professional and retail investors. We understand that you need to be selective in your communication.

Yet, when communicating with capital market participants, do you try to imagine how others feel? According to research, if you want to understand others' perspective, you should concentrate on trying to imagine what others think or feel, for instance when responding to investor requests.

It will be tremendously helpful to us if you were to complete our very short survey about capital markets communications (3-5 minutes max). To take this short survey, please click the link below or copy and paste it into a new browser window:

<<SURVEY LINK>>

For anonymity purposes, your responses are strictly confidential and only used for academic purposes.

Please do not hesitate to reach out if you have any questions.

Thank you for your willingness to participate in this research.

[*Researcher names and institutions redacted*]

Notes: We send IROs a survey that includes our perspective taking manipulation on the face of the email. The second to last paragraph before the survey link is our manipulation of perspective taking and is only present in the empathic condition. See the section on methodology for the text shown in the objective condition.

Appendix B

Investor Email Requests to IROs

Panel A: Wealth Claim Absent

Request for Information on Sustainability



Tariq Anwar <tariq.anwar0107@gmail.com>

Tue, Oct 24, 2023, 5:03 AM



to [redacted]

Hello [redacted]

I hope this e-mail finds you well. My name is Tariq Anwar and I'm a private investor, based in London.

I have been reading about sustainability and climate change in the news. It got me curious about how [redacted] is handling these matters. As an investor, I believe in supporting companies that care about the environment. But honestly, I don't know much about [redacted] sustainability approach.

Can you fill me in on what [redacted] is doing for sustainability? Are there any eco-friendly goals or projects? It'd be awesome if you could share some resources, reports, or info on this topic.

Thanks a lot for helping me out!

Tariq

Panel B: Wealth Claim Present

Request for Information on Sustainability

Inbox x



Tariq Anwar <tariq.anwar0107@gmail.com>

Tue, Oct 24, 2023, 5:28 AM



to [redacted]

Hello [redacted]

I hope this e-mail finds you well. My name is Tariq Anwar and I'm a private investor, based in London. I'm involved in managing my family's private wealth.

I have been reading about sustainability and climate change in the news. It got me curious about how [redacted] is handling these matters. As an investor, I believe in supporting companies that care about the environment. But honestly, I don't know much about [redacted] sustainability approach.

Can you fill me in on what [redacted] is doing for sustainability? Are there any eco-friendly goals or projects? It'd be awesome if you could share some resources, reports, or info on this topic.

Thanks a lot for helping me out!

Tariq

Notes: These screenshots show investors' emails to IROs requesting information on sustainability. Our emails vary the name of the investor across experimental conditions as James Robinson, Francesco Marino, Tariq Anwar, or Habtamu Yerga. We administer an additional control condition, shown in Panel B, where the investor indicates, "I'm involved in managing my family's private wealth." The redacted parts show the IRO's name or the company name.

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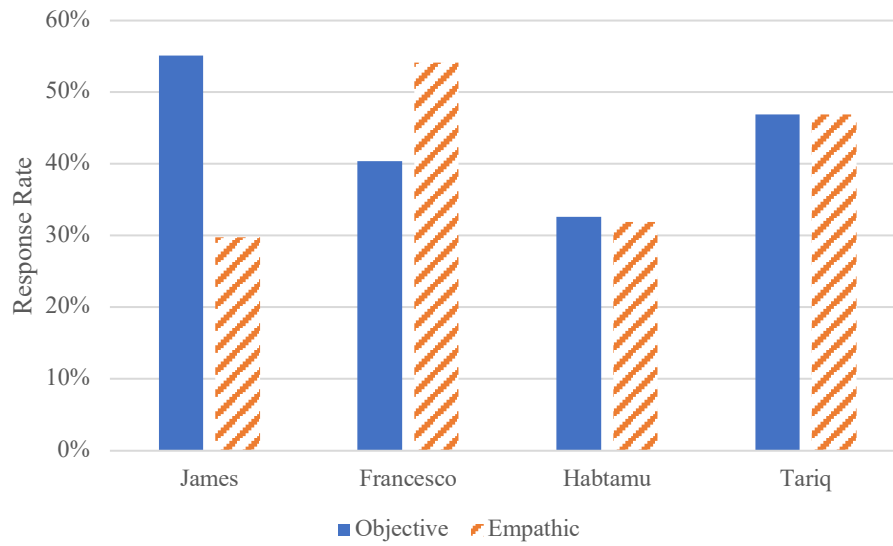
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Figure 1
Response Rate by Ethnicity and Perspective Taking



This figure shows the IRO response rates to ethnic majority (James) and minority investors (Francesco, Habtamu, and Tariq) by perspective taking conditions (objective or empathic). Our test of H1 relies on the objective perspective taking condition (solid bars) while H2 compares the difference between both solid and striped bars. For variable definitions see Table 3.

Figure 2
Wealth Claim Effects



This figure shows the effects of claiming wealth on the length of IRO responses to email requests from the minority investors Habtamu and Tariq. We measure *response length* by counting the number of words that IROs send in response to the investor request. *Wealth Claim* is present if the investor claims to be wealthy, and absent otherwise.

Table 1
Sample Composition by Country

Country	Frequency	Percentage (%)
Austria	7	1.22
Belgium	16	2.78
Cyprus	1	0.17
Denmark	27	4.70
Faroe Islands	1	0.17
Finland	17	2.96
France	66	11.48
Germany	65	11.30
Ireland	11	1.91
Isle of Man	1	0.17
Italy	31	5.39
Luxembourg	8	1.39
Malta	1	0.17
Netherlands	31	5.39
Norway	15	2.61
Poland	8	1.39
Portugal	3	0.52
Spain	23	4.00
Sweden	58	10.09
Switzerland	51	8.87
United Kingdom	134	23.30
Total	575	100.00

This table shows the companies in our sample by location of the company's headquarters.

Table 2
Investor Relations Officers Survey Demographics

Variable	n = 44*
Years of Experience as IRO	
0 - 5	10 (23.26 %)
6 - 10	10 (23.26 %)
11 - 15	10 (23.26 %)
16 - 20	7 (16.28 %)
20 +	6 (13.95 %)
Receive requests at least monthly from	
Analysts	41 (93.18 %)
Institutional shareholders	41 (93.18 %)
Members of business press	20 (46.51 %)
Private / High net worth investors	20 (46.51 %)
Retail investors	26 (60.47 %)

Variable	Mean	Standard Deviation	n = 44*
Age	45.85	8.46	35
Reports directly to CEO or CFO (%)	63.64 %	0.49	44
Gender identity is male	72.09 %	0.45	43
Retail investors are > 5% of holdings	77.27 %	0.42	44

This table shows demographic information for the 44 IROs that filled in our survey.

* Data is missing where n is less than 44.

Table 3
Response Rate by Experimental Condition

Panel A: Response Rate by Ethnicity and Perspective Taking

	<u>Objective</u>	<u>Empathic</u>	<u>Average</u>
James	55.10 % (27 / 49)	29.79 % (14 / 47)	42.71 % (41 / 96)
Francesco	40.43 % (19 / 47)	54.17 % (26 / 48)	47.37 % (45 / 95)
Habtamu	32.65 % (16 / 49)	31.91 % (15 / 47)	32.29 % (31 / 96)
Tariq	46.94 % (23 / 49)	46.94 % (23 / 49)	46.94 % (46 / 98)
Total	43.81 % (85 / 194)	40.84 % (78 / 191)	42.34 % (163 / 385)

Panel B: Linear Logistic Regression on Response Rate

Independent Variable	Coefficient	Std. Error	z	p-value
Intercept	0.20	0.17	1.24	0.22
Francesco	-0.59	0.31	1.93	0.05
Habtamu	-0.93	0.27	3.45	<0.01
Tariq	-0.33	0.27	1.23	0.22
Persp_T	-1.06	0.31	3.41	<0.01
Francesco x Persp_T	1.62	0.51	3.18	<0.01
Habtamu x Persp_T	1.03	0.49	2.08	0.04
Tariq x Persp_T	1.06	0.55	1.92	0.06

Panel C: Additional Simple Effects Tests

Source	z	p-value
Francesco versus James Given Empathic	3.41	<0.01
Habtamu versus James Given Empathic	0.10	0.78
Tariq versus James Given Empathic	1.61	0.11
Empathic vs. Objective Given Francesco	1.20	0.23
Empathic vs. Objective Given Habtamu	0.09	0.93
Empathic vs. Objective Given Tariq	0.00	1.00

This table shows the response rate by experimental condition. Investor ethnicity is manipulated by using the investor name James, Francesco, Habtamu, or Tariq in the fictitious email to IROs. We manipulate perspective taking by sending a survey to IROs highlighting the importance of being objective or empathic in their communication with investors (objective versus empathic condition). Response rate is coded as equal to one when IROs send a reply to the investor, and zero otherwise. The linear logistic regression clusters standard errors by country. All p-values are two-tailed.

Table 4
Wealth Claim Effects

Panel A: Response Length by Ethnicity, Wealth Claim and Perspective Taking - Mean (s.d.)

		<u>Objective</u>	<u>Empathic</u>	<u>Total</u>
<u>Habtamu</u>	Wealth Claim Absent	59.19 (37.33) n = 16	59.93 (33.68) n = 15	59.55 (35.02) n = 31
	Wealth Claim Present	114.31 (156.50) n = 16	122.63 (121.23) n = 16	118.47 (137.77) n = 32
<u>Tariq</u>	Wealth Claim Absent	96.65 (95.99) n = 23	96.74 (94.29) n = 23	96.70 (94.08) n = 46
	Wealth Claim Present	110.00 (114.59) n = 25	156.32 (252.09) n = 25	133.16 (195.21) n = 50
Total		96.86 (108.97) n = 80	113.85 (162.27) n = 79	105.30 (137.87) n = 159

Panel B: Linear Model on Response Length

Independent Variable	Coefficient	Std. Error	t	p-value
Intercept	59.19	9.64	6.14	<0.01
Wealth	55.13	34.77	1.59	0.13
Persp_T	0.75	10.93	0.07	0.95
Tariq	37.46	17.05	2.20	0.04
Wealth x Persp_T	7.57	44.63	0.17	0.87
Wealth x Tariq	-41.78	59.18	0.71	0.49
Persp_T x Tariq	-0.66	26.94	0.02	0.98
Wealth x Persp_T x Tariq	36.67	93.76	0.41	0.69

Panel C: Contrast Test

	df	t	p-value
Contrast with weights of -3 for Habtamu/Wealth Claim Absent, +1 for Tariq/ Wealth Claim Absent and +1 in both Wealth conditions.	1	5.13	<0.01

Table 4 (continued)**Panel D: Follow-up Simple Effects**

Source	t	p-value
Habtamu versus Tariq Given Wealth Claim Absent	3.28	<0.01
Habtamu versus Tariq Given Wealth Claim Present	0.50	0.62
Effect of Wealth Given Habtamu	2.13	0.05
Effect of Wealth Given Tariq	2.53	0.02

This table shows an OLS regression, using *response length* as dependent variable. We measure *response length* by counting the number of words that IROs send in response to the investor request. We code *Tariq* equal to one if the fictitious request uses the name Tariq and zero for Habtamu. We manipulate perspective taking by sending a survey to IROs highlighting the importance of being objective or empathic in their communication with investors (objective versus empathic condition). *Wealth* is equal to one if the investor claims to be wealthy, and zero otherwise. The linear regression clusters standard errors by country. All p-values are two-tailed.

Table 5*Response Rate - Race Incidents Subsample***Panel A: Response Rate by Ethnicity and Perspective Taking**

	<u>Objective</u>	<u>Empathic</u>	<u>Total</u>
James	83.33 % (10 / 12)	37.50 % (3 / 8)	65.00 % (13 / 20)
Francesco	31.25 % (5 / 16)	61.11 % (11 / 18)	47.06 % (16 / 34)
Habtamu	33.33 % (3 / 9)	37.50 % (6 / 16)	36.00 % (9 / 25)
Tariq	56.25 % (9 / 16)	46.15 % (6 / 13)	51.72 % (15 / 29)
Total	50.94 % (27 / 53)	47.27 % (26 / 55)	49.07 % (53 / 108)

Panel B: Linear Logistic Regression on Response Rate

Independent Variable	Coefficient	Std. Error	z	p-value
Intercept	1.61	0.59	2.75	<0.01
Francesco	-2.40	0.61	3.96	<0.01
Habtamu	-2.30	1.07	2.16	0.03
Tariq	-1.36	0.54	2.52	0.01
Persp_T	-2.12	0.69	3.09	<0.01
Francesco x Persp_T	3.36	0.87	3.88	<0.01
Habtamu x Persp_T	2.30	0.92	2.49	0.01
Tariq x Persp_T	1.71	1.00	1.71	0.09

Panel C: Additional Simple Effects Tests

Source	z	p-value
Francesco versus James Given Empathic	2.31	0.02
Habtamu versus James Given Empathic	0.00	1.00
Tariq versus James Given Empathic	0.41	0.68
Empathic vs. Objective Given Francesco	1.67	0.10
Empathic vs. Objective Given Habtamu	0.35	0.73
Empathic vs. Objective Given Tariq	0.75	0.45

This table shows the response rate by experimental condition for the subsample of companies that had incidents related to racial inequality as captured in the RepRisk news database ($n = 108$). Investor ethnicity is manipulated by using the investor name James, Francesco, Habtamu, or Tariq in the fictitious email to IROs. We manipulate perspective taking by sending a survey to IROs highlighting the importance of being objective or empathetic in their communication with investors (objective versus empathic condition). Response rate is coded as equal to one when IROs send a reply to the investor, and zero otherwise. The linear logistic regression clusters standard errors by country. All p-values are two-tailed.

Table 6
Response Rate - High Immigration Subsample

Panel A: Response Rate by Ethnicity and Perspective Taking

	<u>Objective</u>	<u>Empathic</u>	<u>Total</u>
James	66.66 % (10 / 15)	33.33 % (6 / 18)	48.48 % (16 / 33)
Francesco	53.33 % (8 / 15)	40.00 % (6 / 15)	46.67 % (14 / 30)
Habtamu	44.44 % (8 / 18)	27.78 % (5 / 18)	36.11 % (13 / 36)
Tariq	42.11 % (8 / 19)	50.00 % (6 / 12)	45.16 % (14 / 31)
Total	50.75 % (34 / 67)	36.51 % (23 / 63)	43.85 % (57 / 130)

Panel B: Linear Logistic Regression on Response Rate

Independent Variable	Coefficient	Std. Error	z	p-value
Intercept	0.69	0.21	3.27	<0.01
Francesco	-0.56	0.62	0.90	0.37
Habtamu	-0.92	0.49	1.87	0.06
Tariq	-1.02	0.46	2.20	0.03
Persp_T	-1.39	0.57	2.45	0.01
Francesco x Persp_T	0.85	1.03	0.82	0.41
Habtamu x Persp_T	0.65	0.92	0.71	0.48
Tariq x Persp_T	1.70	1.04	1.64	0.10

This table shows the response rate by experimental condition for the subsample of ten European countries with the highest immigration rates ($n = 130$). Investor ethnicity is manipulated by using the investor name James, Francesco, Habtamu, or Tariq in the fictitious email to IROs. We manipulate perspective taking by sending a survey to IROs highlighting the importance of being objective or empathetic in their communication with investors (objective versus empathic condition). Response rate is coded as equal to one when IROs send a reply to the investor, and zero otherwise. The linear logistic regression clusters standard errors by country. All p-values are two-tailed.